Law of Equity and Trusts (EQT1)

Module 4: Classification of Trusts

Lesson 2: Implied, Resulting and Constructive Trusts

Lesson Notes

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Resulting Trusts

Automatic resulting trusts arise when an express trust fails to dispose of the beneficial interest or leaves a surplus. Presumed resulting trusts arise when A provides the purchase money but title is taken in B's name; Equity presumes A retained the beneficial interest unless the presumption is rebutted (gift or advancement).

Constructive Trusts

Constructive trusts are imposed to prevent unconscionable denial of a beneficial interest. Institutional categories include unauthorised fiduciary profits (Keech v Sandford) and knowing receipt. Common intention constructive trusts arise in family property where there is common intention plus detrimental reliance.

Key idea: Resulting trusts focus on intention or failed express trusts; constructive trusts focus on unconscionability.

Reflect: *Why is Keech v Sandford still central to fiduciary law?*

Family Property and Cap 240

In Uganda, claims to a share in a family home registered in one partner's name often engage common intention constructive trust analysis, alongside the Registration of Titles Act Cap 240 and constitutional equality principles. Always check whether an unregistered equitable interest can bind a registered proprietor.

Key Takeaways

- Automatic vs presumed resulting trusts.
- Constructive trusts prevent unconscionable conduct.
- Keech v Sandford — unauthorised fiduciary profits.
- Common intention + detriment in family home cases.

Quick Revision Checklist

- [ ] I can distinguish automatic and presumed resulting trusts.
- [ ] I can explain institutional constructive trusts with an example.
- [ ] I can state the elements of a common intention constructive trust.
- [ ] I know Cap 240 may affect enforceability against registered title.